

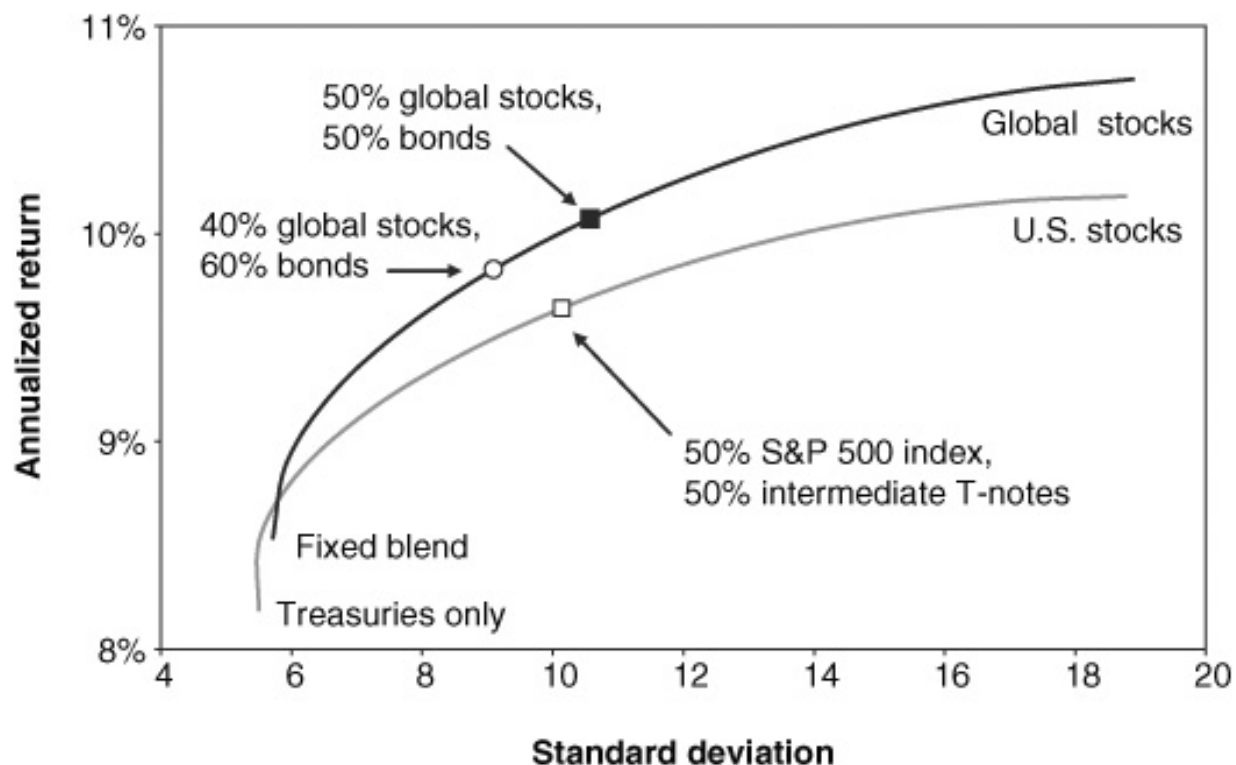


TABLE 4-3

Portfolio Returns, 1973–2009

S&P 500 + T-Notes	100% Treasuries	50% S&P 500, 50% T-Notes	100% S&P 500
Total return	7.7%	9.1%	9.7%
Standard deviation	5.5%	10.1%	18.8%
Multi-Asset class	100% Bonds	50% Global Stock 50% Bonds	100% Equity
Total return	8.0%	9.6%	10.2%
Standard deviation	5.7%	10.6%	18.9%

You may be wondering, why bother with multi-asset-class investing for such a small percentage of increase in return or reduction in risk? First, the example includes only five asset classes, and you will probably use more. The diversification benefit should increase by adding more asset classes. Second, portfolio gains using asset allocation are measured in fractions of a